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26VECV00050 ENCINO TERRACE V ENCINO HILLS PROPCO

[TENTATIVE] ORDER: Defendants Encino Hills PropCo, LP and Encino Hills OpCo, LP's Demurrer to the First Amended Complaint is SUSTAINED WITHOUT LEAVE TO AMEND as to the second and fourth causes of action and is SUSTAINED WITH 20 DAYS LEAVE TO AMEND as to the third cause of action. Leave to amend is not granted to bring in new parties but to address the pleading defect discussed below.

Introduction

Defendants Encino Hills PropCo, LP (PropCo) and Encino Hills OpCo, LP (OpCo) (collectively, Defendants) demurred to Plaintiff Encino Terrace LLC's (Plaintiff) First Amended Complaint (FAC). The demurrer placed into issue the second COA for breach of the implied covenant of good faith and fair dealing, the third COA for intentional misrepresentation, and the fourth COA for negligent misrepresentation.

[NOTE: In the Demurrer, there are three typographical errors in two case citations. These are not seen as "hallucinations" in that they were internal citations taken from quotations from another case and the internal citations show the typographical error of Defendants. Defendants cited to "Blank v. Kirwan, 29 Cal.3d 311, 318 (1985)". (Demurrer, pg. 11:8-9.) The volume number is actually "39" and not "29". Defendants also cited to "Canut v. Resolution Trust Corp., 4 Cal.App.4th 857, 579-880 (1982)". (Demurrer, pg. 11:13-14.) The correct spelling of the name of the plaintiff is "Cantu" and not "Canut" and the correct pin cite should be "879" and not "579". The typographical errors are seen when reviewing the case Defendants originally cited: Rakestraw v. California Physicians' Serv., 81 Cal.App.4th 39, 42-43 (2000). (Demurrer pg.11:2-3.) When reading the Rakestraw opinion, the typos become apparent. These typos also appear in Defendants' demurrer to the original Complaint (filed on March 13, 2026). The court requests that counsel be more careful in proofreading their work.

Discussion

Defendants asserted that the second COA for breach of the implied covenant of good faith and fair dealing failed to allege sufficient facts to plead a breach beyond the breach of the express provisions of the Purchase and Sale Agreement (PSA). At the prior demurrer to the original Complaint, the Court sustained the demurrer based upon this same pleading defect. Plaintiff's first COA for breach of contract alleged a breach of "Section 8.1.14 of the PSA, which is Defendants' representation that, to their knowledge, there were no conditions at the Facility requiring "Material Repairs," defined to include non-cosmetic, structural, or system-related repairs, including repairs to the Facility's roof, that would cost \$10,000 or more." (FAC pars. 19 and 36.) The breaches included failures to disclose, as well as concealment of: "(a) extensive water damage, mold, and termite infestation in Room 231; (b) prior gutting and water damage in Rooms 227 and 228; (c) unresolved and recurring roof leaks; (d) structural issues; (e) water intrusion from external walls during rainfall; and (f) widespread plumbing issues due to deteriorated galvanized pipes." (FAC pars. 21-27, and 39.) The breach alleged in the second COA included: "concealing

known material defects at the Facility, including failing to disclose severe water damage, mold, termites, gutted resident rooms, a failing roof, and systemic plumbing and structural issues. All while representing in the PSA that no "Material Repairs" were required." (FAC par. 49.) The allegations show that the breaches alleged in both the first and second COAs are based upon the same misconduct - the failure to disclose/concealment of several issues of the Facility's structure. Because the alleged breaches are the same, Plaintiff failed to allege facts that plead breaches that are beyond the breaches of the PSA provision. This is the same pleading defect that was raised and sustained in the prior demurrer. Plaintiff failed to cure the pleading defect.

The demurrer to the second COA is SUSTAINED WITHOUT LEAVE TO AMEND.

Defendants argued that the third COA for intentional misrepresentation and the fourth COA for negligent misrepresentation (collectively, Fraud-Based COAs) are barred by the Economic Loss Rule (ELR). The ELR bars claims in tort for pure economic losses in deference to a contract between litigating parties. (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 923 (Sheen).) "The rule itself is deceptively easy to state: In general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage." (Id. at p. 922.) "Whether a duty exists is a question of law to be resolved by the court." [Citation.] 'A duty of care may arise through statute' or by operation of the common law. [Citation.]" (Id. at p. 920.) The ELR bars tort recovery for breach of a contract duty "unless two conditions are satisfied. A plaintiff must first demonstrate the defendant's injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant's conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed." (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 20-21 (Rattagan).) "When evaluating whether the parties' expectations and risk allocations bar tort recovery, the court must consider the alleged facts. First, applying standard contract principles, it must ascertain the full scope of the parties' contractual agreement, including the rights created or reserved, the obligations assumed or declined, and the provided remedies for breach. Second, it must determine whether there is an independent tort duty to refrain from the alleged conduct. Third, if an independent duty exists, the court must consider whether the plaintiff can establish all elements of the tort independently of the rights and duties assumed by the parties under the contract. The guiding and distinguishing principle is this. If the alleged breach is based on a failure to perform as the contract provides, and the parties reasonably anticipated and allocated the risks associated with the breach, the cause of action will generally sound only in contract because a breach deprives an injured party of a benefit it bargained for. However, if the contract reveals the consequences were not reasonably contemplated when the contract was entered and the duty to avoid causing such a harm has an independent statutory or public policy basis, exclusive of the contract, tort liability may lie." (Id. at p. 26-27.)

Specifically, as to the fourth COA for negligent misrepresentation, "[a]s is true of negligence, responsibility for negligent misrepresentation rests upon the existence of a legal duty, imposed by contract, statute or otherwise, owed by a defendant to the injured person. The determination of whether a duty exists is primarily a question of law." (Eddy v. Sharp (1988) 199 Cal.App.3d 858, 864.) Plaintiff alleged that Defendants misrepresented that there were no conditions at the Facility requiring "Material Repairs" and/or failed to disclose that the Facility required "Material Repairs". Plaintiff expressly cited to PSA Section 8.1.14 to allege Defendants made the affirmative misrepresentation. (FAC par. 64.) With the citation to the PSA, Plaintiff alleged a contractual basis for the duty. Plaintiff did not provide any statutory or common law basis for duty. Because the alleged misrepresentation and/or duty to disclose is grounded upon the PSA, Plaintiff failed to plead sufficient facts to allege that Defendant's failure to disclose violated a duty that is independent of the duties and rights assumed by the parties when they entered the PSA. Further, Plaintiff's only damages are the Facility's property damages. (FAC pars. 25-29, 65, and 69.) Because the only alleged injury is the property at the center of the sales transaction, Plaintiff also failed to plead any facts to allege that Defendants' conduct caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed. For these pleading defects, the Court finds the Demurrer to the fourth COA to be persuasive.

The Demurrer to the fourth COA for negligent misrepresentation is SUSTAINED WITHOUT LEAVE TO AMEND.

Defendants further argued the ELR prohibition against the third COA for intentional misrepresentation. The third COA, as was the case with the fourth COA, also alleged that Defendants misrepresented that no conditions at the Facility required "Material Repairs" and/or a failure to disclose that the Facility required "Material Repairs". Plaintiff's third COA again cited to PSA Section 8.1.14 to allege the affirmative misrepresentation and/or duty to disclose. (FAC par. 54.) As was the pleading defect reviewed in the fourth COA, the same pleading defects apply to the third COA. Plaintiff failed to plead sufficient facts to allege a duty independent of the PSA, especially due to Plaintiff's reliance upon the express provision of the PSA to allege

the affirmative misrepresentation and/or duty to disclose. Further, Plaintiff failed to plead sufficient facts to allege that Defendants' conduct caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed. Plaintiff's alleged injury is only the defects in the Facility and such defects are seen to have been contemplated by the parties based upon PSA Section 8.1.14. For these same reasons, the Court finds that the ELR bars the third COA.

Plaintiff further argued that public policy favors holding Defendants accountable because it frustrated the purpose of the transaction for Plaintiff to assume operations and also created risks for the Facility's residents and staff. However, without sufficient pleading of a duty independent of the PSA, the intentional misrepresentation COA is only seen as a claim to protect the contracting parties' individual interests and there is insufficient fact pleading to plead a violation of a public policy predicated on a policy that concerns society at large. The Court does not find Plaintiff's public policy argument to be persuasive.

The Court finds that the facts alleged in the FAC are distinguishable from the facts alleged in Robinson. In Robinson, the alleged fraud was found to be independent of the contract claims. The fraud alleged in Robinson was grounded upon fraudulent certificates of compliance as to Federal Aviation Administration standards for the helicopter component - the certificates being a requirement not within the contract. The contract claim in Robinson was grounded upon the failure to supply compliant helicopter components as required by the contract terms. In the instant FAC, the alleged fraud/failure to disclose the Facility defects is based upon the terms of the PSA rather than a duty/obligation outside the terms of the PSA to disclose the Facility defects. (See FAC par. 39, 54, 56, 64, and 65.) The argument as to ELR prohibiting the affirmative misrepresentation/actual deceit COA is persuasive.

Plaintiff argued that independent tortious conduct occurred when Defendants' representatives excluded and/or hid the Facility's defects during the "walkthrough" of the property. However, the Court disagrees with the characterization of the "walkthrough" or inspection of the Facility as being independent misconduct and/or an independent duty from the PSA. The inspection of the Facility is seen as performance of the terms of the contract. It is inferred that terms of a real property sales transaction would require an inspection of the real property. Further, the pleading element is an independent tort duty and not independent misconduct. The duty to disclose is at issue and, as reviewed above, the duty to disclose is grounded upon the PSA. Because the duty to disclose is based upon the PSA, the duty to disclose is not seen as being independent from the contractual duty. The Court does not agree with Plaintiff's characterization of the duty to disclose as being independent from the PSA.

Plaintiff argued that the third COA can be re-alleged as a fraudulent concealment COA. "A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement." (Rattagan, supra, 17 Cal.5th at p. 38.) The Court has its doubts as to whether Plaintiff can plead around the fact that the duty to disclose, as reviewed above, is dependent on the PSA. The Court believes that Plaintiff would have difficulty in pleading an independent duty to disclose. However, the Court is inclined to provide Plaintiff with an opportunity to cure the pleading defect and re-allege the third COA as a fraudulent concealment COA.

The Demurrer to the third COA is SUSTAINED WITH LEAVE TO AMEND to re-allege the third COA as a fraudulent concealment COA.

IT IS SO ORDERED, CLERK TO GIVE NOTICE.